line of equality and axis of the graph.

In the above graph, Gini coefficient = AEB/ ACB

Poverty Estimation in India

Poverty alleviation is one of the key objectives to improve the standard of living of the people in India after independence. The Planning Commission kickstarted official poverty estimation in India. Later various committees were formed to estimate poverty in India.

Subsistence approach is used to measure absolute poverty. There are two methods under this approach. One is Cost of Basic Needs (CBN) and the other one is Food Energy Intake (FEI) method.

In CBN food and non-food related needs are considered. First the expenditure to be incurred on a food basket needed to meet prefixed calorie is calculated. It is called **'food poverty line'**. In the second stage along with food, non-food related basket of goods is identified and the total amount of expenditure needed to meet them is calculated it is called **'aggregate poverty line'**.

In FEI the expenditure needed to have a prefixed level of calorie consumption is found out and the poverty line is fixed. The commonality to both approaches is both consider food energy intake and actual pattern of consumption data is needed to arrive at the poverty line.

Perspective Planning Division - Working Group

- A Working Group was constituted in 1962 and it submitted report in the same year.
- At national level it fixed per capita monthly bare minimum consumption expenditure of ₹ 20 at 1960-61 prices. For rural area it is ₹ 18.90 and for urban area it is ₹ 25. It placed 60 per cent of Indian people Below Poverty Line